Comment on the Notice of Proposed Rulemaking: GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale

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Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer, a custodian, or an interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program builds measurement instruments that make those functions observable to supervisors, including the Control Layer Intensity Index, which scores operator-level control continuously and carries a published freeze and blacklist capability dimension, and the Minimum Viable Equivalence Pack, a ten-category structural diligence diagnostic for decision points.

This is the program's second comment to Treasury, following its comment on the GENIUS Act state-similarity assessment (TREAS-DO-2026-0232). Tokenization Systems has submitted twenty-one comments, carrying one hundred fourteen recommendations, to nine federal agencies.

This comment supports the proposed rule. Treasury has read section 3 sensibly, and proposed § 1523.3(c) in particular reflects a correct judgment: a strict reading of section 3(b)(2) would foreclose the offer of foreign-issued payment stablecoins entirely, because no digital asset service provider can know with certainty that a foreign issuer "will comply" at all times in the future. The comment addresses one question that runs through that provision, which Treasury has left open by design and poses directly in Question 52: what "reasonable due diligence" on a foreign issuer's representation should be understood to require. It also answers Question 53, on the knowledge standard; Questions 38, 44, 62, and 64, on the reasonable-belief standard for issuance and for offers and sales; Questions 45, 47, 48, and 50, on offshore treatment, in its response to the New York State Department of Financial Services; and Question 4, on the lawful-order definition.

The comment's central proposition is that the two facts § 1523.3(c) turns on are not equally observable, and the rule should say so. Whether a foreign payment stablecoin

issuer has **the technological capability** to comply with a lawful order is directly readable from the issuer's deployed contract and its on-chain history: a freeze or blacklist function either exists in the deployed code or it does not, the authority to invoke it resides at an identifiable address, and prior invocations are a matter of public record. Whether that issuer **will comply** in the future is not observable at all. Treasury has correctly declined to require certainty about the second. The recommendations below ask Treasury to take the corresponding step on the first, and to name the observable check as a floor rather than leave the entire standard to facts and circumstances.

The program brings one further contribution that is unusual and that it states plainly, because it cuts against its own instrument. Measuring whether a freeze capability exists is not the same as measuring whether the controls around that capability are sound, and the program's own index does not close that gap. A diligence standard keyed only to the existence of a capability would clear an issuer whose operational controls around that capability are absent. Recommendation 2 sets out the evidence for that, and it is drawn from a documented production incident at a highly regulated issuer.

The seven recommendations are summarized below with the provision each addresses, the numbered questions each answers, and the action requested.

Recommendation	Provision and questions	Requested final-rule action	Why it matters
1. On-chain capability check as a diligence floor	§ 1523.3(c); Question 52	State that reasonable due diligence includes confirming, from the deployed contract and its on-chain history, that the claimed compliance capability exists and that the authority to invoke it is identifiable	The capability limb of the representation is directly verifiable, so it should not rest on the issuer's assertion when the check is cheap and reproducible
2. Diligence must reach controls, not just capability	§ 1523.3(c); Question 52	Extend the expected diligence to the operational controls around the compliance capability, not the capability alone	A top capability score and absent operational controls coexisted in a documented production overmint at a highly regulated issuer, and the Act already pairs the capability with policies and procedures for permitted issuers

Recommendation	Provision and questions	Requested final-rule action	Why it matters
3. Replace unobservable "will comply" with an observable proxy	§ 1523.3(c); section 3(b)(2); Questions 52 and 53	Confirm that the forward-looking limb is satisfied by documented invocation history and a published response commitment, plus a duty to re-check on defined triggers, and retain the proposed knowledge standard	Treasury already concedes certainty is impossible; naming the proxy converts an unfalsifiable condition into a checkable one
4. Key the mandatory section 8 check to a published determination, and state how notice reaches a provider	§ 1523.3(c); section 8 (12 U.S.C. 5907); Question 52	Confirm that the mandatory check covers a published determination of noncompliance, not only a prohibition in effect, and state the designation list's current state and notice mechanism	Under section 8(b) the trading prohibition takes effect 30 days after its Federal Register notification, so a check limited to a prohibition in effect can pass while the published record already shows noncompliance
5. Adopt reasonable belief over strict liability, and make its evidence observable	§ 1523.2(c) and § 1523.3(e); Questions 38, 44, 62, and 64	Retain the reasonable-belief approach rather than the per se alternatives, and name the observable geographic controls that evidence it	Strict liability is described as depending only on verifiable location, but the controls that establish location are themselves measurable, so the reasonable-belief approach loses nothing on verifiability
6. Reach the party that holds the key, not the party that signs	§ 1523.3(c); § 1523.1 definitions; Question 52 (see also Question 24)	Confirm that the compliance capability is assessed where the invoking authority actually resides, including where it sits with an affiliate or a third-party administrator	A representation signed by an issuer whose key is held elsewhere describes a capability the signer does not control
7. Align the lawful-order test across the three rulemakings that now carry it	§ 1523.3(c); § 1523.1(c) definition of lawful order; Question 4	State in the final rule's preamble how this capability standard relates to the lawful-order obligations in the FinCEN permitted-payment-stablecoin-issuer rulemakings	The same underlying obligation now appears in three proceedings with three formulations, which invites forum selection rather than compliance

I. Recommendations

Recommendation 1 (§ 1523.3(c); Question 52): State that reasonable due diligence includes an on-chain confirmation that the claimed compliance capability exists.

Proposed § 1523.3(c) permits a digital asset service provider to rely on a representation by a foreign payment stablecoin issuer that it "has the technological capability to comply with, and will comply, with the terms of any lawful order and any reciprocal arrangement pursuant to section 18 of the Act," provided that the provider "conducts reasonable due diligence regarding the representation," and it denies reliance where the provider "knows, has reason to know, or should know that the representation is false." (The proposed text repeats "with"; a technical correction is noted in Part II.)

Treasury states that what constitutes reasonable diligence "may vary depending on the facts and circumstances," and specifies one mandatory element: confirming that no prohibition on secondary trading under section 8 of the Act is in effect. It also states that the diligence is meant to go further, and that a provider "should consider all reasonably available sources of information regarding the foreign payment stablecoin issuer." Tokenization Systems supports that flexibility as a general matter and does not recommend a prescriptive diligence schedule. It recommends naming one further floor element, because for a payment stablecoin on a public ledger the most reasonably available source of information about the represented capability is the ledger itself, and the fact in question is unusually cheap to verify.

Question 52 asks this directly: whether a provider should be required to "audit or examine smart contracts relating to a payment stablecoin," and whether it should "verify the existence and/or efficacy of smart contract functions designed to comply with lawful orders." Tokenization Systems' answer separates the two. Existence can be confirmed from outside the issuer, and this recommendation says how. Efficacy cannot, and Recommendation 2 addresses it through the controls around the function rather than through an audit. The answer to the first half of the question is therefore to examine, not to audit.

The technological-capability limb is directly observable. The Act defines a lawful order by what it requires: an order that "requires a person to seize, freeze, burn, or prevent the transfer of payment stablecoins issued by the person." Where a payment stablecoin is issued on a public ledger, each of those operations either exists as a function of the deployed contract or it does not; the authority to invoke it resides at an identifiable address or under an identifiable governance process; and any prior invocation is a matter of public record. As the Bank for International Settlements has observed, "Most stablecoins can block specific addresses from holding their tokens." Whether a particular one can is a question the ledger answers. None of this requires the issuer's cooperation, and none of it is the "prohibitively onerous inquiry" Treasury reasonably wishes to avoid.

Question 52 also asks whether such a requirement would effectively exclude payment stablecoins "whose code is not fully open source." It need not. A contract's transaction history is public whether or not its source code is published, so a freeze or burn function

that has been used is observable from its use, and an issuer that has not published its source can identify the function and the address that holds the authority to invoke it, which the provider can then check against the ledger. The question's companion, whether the rule should address public statements that a payment stablecoin is "resistant to freezing," has a short answer: such a statement is a reasonably available fact of exactly the kind Treasury describes when it explains that its standard reaches a provider "aware of facts that would cause a reasonable person to conclude" that the issuer lacks the represented capability. The adopting release should say so.

Tokenization Systems' Control Layer Intensity Index scores this exact property as one of its five dimensions, with published anchors and a stated evidence source: at the top of the scale, a verified freeze function together with a documented rapid-response process, evidenced from the contract source. The point for this rulemaking is not the index but the observation underlying it, which is that this dimension is scored from public data rather than from operator attestations.

Tokenization Systems therefore recommends that Treasury state, in the rule text or the adopting release, that reasonable due diligence under § 1523.3(c) includes confirming from the deployed contract and its on-chain history that the represented capability exists and that the authority to invoke it is identifiable, where the payment stablecoin is issued on a public ledger. Where it is not, the recommendation does not apply and the general facts-and-circumstances standard should govern.

Osman Sonmez has asked for the same floor: that reasonable due diligence include checking the public on-chain record, and that a provider not rely on a representation which that record contradicts (TREAS-DO-2026-0496-0030). Tokenization Systems agrees, including with his request that the representation list the issuer's contract addresses chain by chain, because capability differs from one chain to another and a bridged or wrapped version is often outside the issuer's control. This comment adds three specifications to that floor. Where source code is unpublished, transaction history and the issuer's identification of the function are enough to examine existence, which answers the open-source part of Question 52. The examination reaches past who controls the function, which his comment also names, to whether a limit on that authority is visible in the contract or its history, which is Recommendation 2. A published section 8 determination defeats reliance before the trading prohibition takes effect, which is Recommendation 4. Other commenters point the same way: the commenter Digital Currency Monetary Authority writes that Treasury should not require every digital asset service provider "to audit source code or smart contracts" (TREAS-DO-2026-0496-0028), and VeloxVFX would require "identification of the responsible function" and "escalation where public statements or other evidence materially contradict the representation" (TREAS-DO-2026-0496-0022). An examination of the ledger, not an audit, is consistent with both.

Recommendation 2 (§ 1523.3(c); Question 52): Extend the expected diligence to the operational controls around the compliance capability, not the capability alone.

This recommendation qualifies Recommendation 1, and Tokenization Systems states it plainly because it is a limitation of the program's own instrument rather than a limitation of someone else's.

Confirming that a compliance capability exists is not the same as confirming that the controls around it are sound. A documented production incident makes the gap concrete. On October 15, 2025, a minting address belonging to a highly regulated issuer created 300 trillion units of a payment stablecoin, roughly five orders of magnitude above the token's circulating supply, and burned the position 22 minutes later. The peg held throughout, within 0.03 percent of par on a decentralized-exchange volume-weighted basis. That issuer scored 0.95, the top anchor, on the Control Layer Intensity Index's freeze and mint capability dimension. A supply cap, a per-transaction limit, and multisig minting were all absent.

The episode is consistent with the capability dimension tracking a live operational risk. It also shows that the dimension scores the existence of the capability rather than the quality of the controls around it, and Tokenization Systems has recorded that as a limitation of its own index rather than treating the score as complete.

The consequence for § 1523.3(c) is direct. A diligence standard satisfied by confirming that a freeze function exists would have cleared this issuer, on this token, in the month of this incident. Tokenization Systems recommends that Treasury state that reasonable diligence extends to the controls governing the capability, and that a provider consider at least: who may invoke the function and under what internal authorization; whether limits exist on the privileged operations the same key can perform; and whether the issuer publishes a response commitment for a lawful order. These are questions an issuer can answer briefly and a provider can record. Where the payment stablecoin is issued on a public ledger, the provider then checks the answers against the ledger on the points the ledger can show: the address or governance process that can invoke the function, and any limit on privileged operations that is encoded in the contract or visible in its transaction history.

The Act already draws this line for domestic issuers. A permitted payment stablecoin issuer may issue only if it "has the technological capability to comply, and will comply, with the terms of any lawful order," the same formula section 3(b)(2) applies to foreign issuers, but the Act separately requires a permitted issuer to maintain "technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions that violate Federal or State laws, rules, or regulations." Asking a provider to reach the controls around a foreign issuer's capability asks of the foreign issuer's representation no more than the Act asks of a permitted issuer directly.

Federal and foreign supervisors already treat the controls as the object. The Office of the Comptroller of the Currency, proposing rules for permitted payment stablecoin issuers, states that issuers "should ensure that they have sufficient controls to reliably address

operational issues that may arise with burning and minting new stablecoins," and the same proposal cites press coverage of the October 2025 incident described above. The Hong Kong Monetary Authority's August 2025 guideline for licensed stablecoin issuers, a foreign regime of the kind under which a foreign payment stablecoin issuer may be licensed, requires a licensee to identify every token operation, including "deploy, configure, mint, burn, upgrade, pause, resume, blacklist, remove blacklist, freeze, remove freeze, whitelist," to set for each "a required level of authorisation proportionate to the level of risk of the operation," and to ensure that "high-risk operations are designed in a way that prevents any single party from being able to perform the relevant operations unilaterally." A foreign issuer licensed under a regime of that kind already holds the description this recommendation asks a provider to obtain; for one that does not, the absence is itself information a provider should record.

That the controls rather than the bare capability are the right object is also the view of an independent commercial assessor. Moody's Ratings, in its March 2026 cross-sector rating methodology for stablecoins, assesses an issuer's "internal controls, reconciliation processes and contingency planning," and looks for "continuity plans and adequate internal controls to safeguard data integrity and operational resilience." A commercial methodology assessing the same class of issuer, for a different purpose, reaches past capability to the controls around it.

Recommendation 3 (§ 1523.3(c) and section 3(b)(2); Questions 52 and 53): Confirm that the forward-looking limb is satisfied by an observable proxy plus a duty to re-check.

Treasury's own analysis of the "will comply" limb is the strongest statement of the problem in the release: a digital asset service provider "can never know with certainty whether a foreign payment stablecoin issuer 'will comply' at all times in the future," and a strict reading "would effectively foreclose" the offer of foreign-issued payment stablecoins in all cases. Tokenization Systems agrees, and agrees with the reliance framework Treasury proposes in response.

What the proposal does not do is say what evidence bears on a limb that admits no certainty. Left unstated, the limb is unfalsifiable in both directions: a provider cannot demonstrate it has been satisfied, and an examiner cannot demonstrate it has not.

Tokenization Systems recommends that Treasury confirm in the adopting release that the forward-looking limb is addressed, not by prediction, but by two observable things: the issuer's documented history of responding to lawful orders and equivalent process where such history exists, and a published commitment to a response process and timeframe. Neither guarantees future compliance. Both are checkable, and both are the kind of evidence a provider can hold in a file.

Both already exist in the market. The President's Working Group on Digital Asset Markets reported in July 2025 that "some stablecoin issuers have, in some cases, taken steps to freeze assets" in response to law-enforcement requests, so an invocation history is a real record rather than a hypothetical one, and it recommended that Treasury explore

"program requirements relating to freezing and seizing stablecoins." Published commitments exist too. Circle Internet Financial's published access-denial policy states that Circle "will block individual addresses in order to comply with a law, regulation, or legal order from a duly recognized U.S. or French authorized authority," reserves a right to object to an order, and commits to "regularly report publicly the most up-to-date amount of access denied Circle Stablecoin tokens." A policy of that form tells a provider whose orders the issuer undertakes to honor and on what reservations, which is precisely the fact the "will comply" limb turns on for a foreign issuer, and its public reporting creates the record against which later conduct can be checked.

This is also how an independent assessor already handles the same unknowable-future problem. The Moody's stablecoin methodology assesses each key counterparty's "operational history, including its track record in the management of stablecoins and similar instruments, operational stability and fulfillment of stated commitments." Track record and fulfillment of stated commitments are precisely the backward-looking observables that stand in for a forward-looking guarantee no one can give.

Tokenization Systems further recommends that Treasury pair this with a duty to re-check on defined triggers rather than a continuous obligation or a fixed calendar, which also answers Question 52's question whether the representation should "be updated with some frequency": a change in the issuer's control arrangements, a change in the deployed contract's privileged functions, a section 8 designation of an affiliated issuer, or a failure to respond to a lawful order of which the provider becomes aware. A trigger-based duty is administrable in a way that a continuous one is not, and it is how the Hong Kong guideline cited in Recommendation 2 times its own re-examination of a licensee's contracts, requiring an audit "whenever there is deployment, redeployment, or an upgrade to the smart contracts," in addition to an annual one. A provider should retain the representation, its record of the observable checks, and its record of each trigger review, which answers Question 52's question whether providers should "retain records of the representation and due diligence."

On Question 53, Tokenization Systems recommends retaining the proposed "knows, has reason to know, or should know" standard rather than the alternative of "not having any reason to suspect" that the issuer lacks the capability or will not comply. With the observable floors in Recommendations 1 through 3, the "should know" limb has content a provider can meet and an examiner can test; a no-reason-to-suspect standard applied to a limb that admits no certainty could not be met by anyone.

Recommendation 4 (§ 1523.3(c) and section 8; Question 52): Confirm that the mandatory section 8 check covers a published determination of noncompliance, and state whether the designation list is populated and how notice reaches a provider.

Treasury makes one diligence element mandatory: confirming that no prohibition on secondary trading under section 8 is in effect with respect to the foreign payment stablecoin issuer. The release describes the designation process and notes that designations

are published in the Federal Register.

The statute's own sequence opens a gap in that element as framed. Under section 8(b), when a designated issuer fails to come into compliance, the Secretary must, subject to the waivers in section 8(c), "publish the determination of noncompliance in the Federal Register" together with a notification prohibiting digital asset service providers from facilitating secondary trading, and the prohibition "shall become effective on the date that is 30 days after the date of issue of notification of the prohibition in the Federal Register." For those 30 days, a provider that checks only whether a prohibition is in effect satisfies the mandatory element while the Federal Register already records that the issuer has failed to comply with a lawful order. That provider would, on Treasury's own description of the knowledge standard, be "aware of facts that would cause a reasonable person to conclude" that the issuer will not comply. The mandatory element should say what the knowledge standard already implies: the check is whether a determination of noncompliance has been published and not since lifted, not only whether the trading prohibition has taken effect. A waiver, general license, or specific license under section 8(c)(1) relieves the secondary-trading prohibition for the trading it covers; it does not show that the issuer will comply with lawful orders, so it does not by itself restore reliance on that representation.

Two operational questions are also left open, and both determine whether the mandatory element is meaningful at the moment a provider must satisfy it. First, whether any designation is currently in effect, and second, the mechanism and expected timing by which a provider learns of a new designation, given that a provider's obligation attaches to every offer and sale rather than to a periodic review date.

Tokenization Systems raises this because it has encountered the same structure in an adjacent proceeding. In its comment on the FinCEN permitted-payment-stablecoin-issuer customer identification program rulemaking, the program noted that the proposed government-list comparison obligation had no designated lists, the release stating that the relevant agencies had not yet designated any. An obligation to check a list is only as operative as the list and its notice mechanism. Tokenization Systems recommends that the final rule or its preamble confirm that the mandatory element covers a published determination of noncompliance, state the designation list's current state and where a provider checks it, and state whether Federal Register publication is the sole notice channel or whether Treasury will maintain a machine-readable source.

Recommendation 5 (§ 1523.2(c), § 1523.3(e), and the alternative approaches; Questions 38, 44, 62, and 64): Retain the reasonable-belief approach, and name the observable evidence that supports it.

Treasury asks whether to replace the proposed approach with an alternative deeming any issuance to a person located in the United States unlawful regardless of the issuer's knowledge, which would narrow or remove proposed § 1523.2(c) (Question 44), and asks the parallel question for offers and sales under proposed § 1523.3(e) (Question 64). In describing the issuance alternative, Treasury notes that it "would provide a clear, unambiguous line … that depends only on factually verifiable locations," and acknowledges

that it "may be viewed as overly strict."

Tokenization Systems recommends retaining the proposed reasonable-belief approach in both provisions. The verifiability argument advanced for the alternative is weaker than it appears, because the controls that establish a recipient's location are themselves observable. Geographic restriction is a scored dimension in the program's control-layer instrument, assessed from terms of service, sanctions-list compliance, and frontend geographic-blocking behavior, all of which are examinable from outside the issuer. An approach conditioned on reasonable belief supported by such controls does not trade away verifiability; it relocates the verifiable object from the recipient's location, which the issuer often cannot determine, to the issuer's controls, which are visible.

Questions 38 and 62 ask what policies, procedures, or controls should support a reasonable belief, and whether Treasury should identify specific controls such as "geographic access restrictions, device- or network-location checks." Tokenization Systems recommends that Treasury, if it retains the reasonable-belief standard, name in the adopting release the categories of evidence that support a reasonable belief, including deployed geographic-blocking controls and their coverage, sanctions and jurisdictional screening at onboarding, controls against location spoofing, and the handling of indeterminate results. Naming the categories preserves flexibility while giving the standard content. The categories are not novel. The Hong Kong Monetary Authority already expects a licensed stablecoin issuer to maintain policies and procedures for "ensuring that it does not issue or offer specified stablecoins in jurisdictions where such activity is unlawful," by means that include identity-document verification, geolocation lookup by IP address or GPS, and blocking access, and to "implement controls to mitigate the risk of location spoofing," including through virtual private networks. A foreign issuer licensed under a regime of that kind will already hold the evidence these categories describe.

Recommendation 6 (§ 1523.3(c) and § 1523.1; Question 52): Assess the capability where the invoking authority actually resides.

Proposed § 1523.3(c) directs the representation to the foreign payment stablecoin issuer. In practice the authority to invoke a compliance function is not always held by the entity that signs the representation. It may reside with an affiliate, a foundation, a contracted contract administrator, or a multi-party arrangement in which the issuer is one signer among several.

Where that is so, a representation by the issuer describes a capability the issuer does not solely control, and diligence directed only at the signer will not surface the gap. This is the same divergence between nominal and effective control that Tokenization Systems has raised with other agencies: where control is delegated or placed with an affiliate, the nominal locus of accountability and the effective locus of control can separate, and a test that reads only the nominal structure will misjudge the arrangement. The program's live-governance study of 52 token protocols states the measurement form of the same point: "Holder-list concentration is meaningless until the unit of control is identified." Treasury has already recognized the structure in its questions on the issuer definition, asking whether there is "a risk of evasion if activities are split among persons to attempt to avoid

any one of them being considered the issuer" (Question 24). The same risk attends a representation about a compliance capability.

Tokenization Systems recommends that Treasury confirm in the adopting release that the § 1523.3(c) inquiry reaches the party that actually holds the invoking authority, and that a provider's diligence is expected to establish where that authority resides. The recommendation adds no new obligation for the ordinary case in which the issuer holds its own keys; it prevents the provision from being satisfied formally in the case where it does not.

This is also settled international supervisory practice rather than a novel ask. The Financial Stability Board's high-level recommendations for global stablecoin arrangements, in their July 2023 final form, provide that "Authorities should require that GSC arrangements have in place and disclose a comprehensive governance framework with clear and direct lines of responsibility and accountability for all functions and activities within the GSC arrangement," and that issuance "be governed and operated by one or more identifiable and responsible legal entities or individuals." A compliance capability is exactly such a function, and the location of the authority to invoke it is what Recommendation 6 asks a provider to establish.

Recommendation 7 (§ 1523.3(c) and § 1523.1(c); Question 4): State how this capability standard relates to the lawful-order obligations in the FinCEN rulemakings.

The obligation to comply with lawful orders now appears in at least three federal proceedings, in three formulations. This proposal frames it as a foreign issuer's technological capability plus a provider's reliance and diligence. The FinCEN permitted payment stablecoin issuer sanctions and anti-money-laundering rulemaking frames it as a compliance obligation of the issuer. The FinCEN customer identification program rulemaking frames it through the statutory definition of a lawful order, which is itself expressed in terms of accounts.

Tokenization Systems has commented in each of those proceedings and has argued that the account-based framing and the wallet-based reality of stablecoin transfers must be reconciled explicitly rather than left to inference. It does not repeat those arguments here, and this recommendation asks for nothing substantive from Treasury on them.

What it asks is narrower, and Treasury has posed the question itself. Question 4 asks whether the definition of lawful order in part 1523, which proposed § 1523.1(c) supplies by cross-reference to section 2(16) of the Act, should define terms as FinCEN considered for its own proposed definition (91 Fed. Reg. 18582, 18594 to 18595) or otherwise "align more closely to FinCEN regulatory definitions." Tokenization Systems' answer is that it should align, or that the final rule should state where and why the two differ. Either way, it recommends that the final rule's preamble state how the capability standard in § 1523.3(c) relates to the lawful-order obligations in the FinCEN rulemakings: whether an issuer that satisfies one is understood to satisfy the others, and whether a provider's diligence under this rule may rely on a determination made under those. A commenter reading only this

docket cannot answer that question, and a provider subject to all three needs it answered.

Treasury has stated the corresponding commitment at the international level. The 2021 President's Working Group report on stablecoins records that, to prevent misuse by illicit actors, "Treasury will continue leading efforts at the Financial Action Task Force (FATF) to encourage countries to implement international AML/CFT standards." The request here is the domestic counterpart of that leadership, and a smaller one: not to harmonize across jurisdictions, but to state how three of Treasury's own and its bureau's proceedings relate on a single obligation.

II. Suggested rule text

The following language is offered as a drafting starting point for the highest-priority recommendations, using the proposal's own defined terms.

Recommendations 1, 2, and 6 (§ 1523.3(c)). Add to proposed § 1523.3(c), after the existing due diligence condition:

> For purposes of this paragraph (c), where the payment stablecoin is recorded on a public distributed ledger, reasonable due diligence includes confirming from the deployed contract code and its transaction history that the represented capability exists, identifying the address or governance process holding the authority to invoke it, and determining whether that authority is held by the foreign payment stablecoin issuer or by another person. Reasonable due diligence also includes obtaining the foreign payment stablecoin issuer's description of the internal authorization required to invoke that capability and of any limits on the other privileged operations exercisable by the same authority, and checking that description against the deployed contract code and its transaction history on the points they show.

Recommendation 3 (§ 1523.3(c)). Add:

> A digital asset service provider may treat the representation that a foreign payment stablecoin issuer will comply with the terms of any lawful order as supported where the foreign payment stablecoin issuer has published a commitment describing its process and timeframe for responding to a lawful order, and where the digital asset service provider is not aware of a failure by the foreign payment stablecoin issuer to comply with such an order. A digital asset service provider must repeat the due diligence required by this paragraph upon becoming aware of a change in the authority holding the represented capability, a change in the privileged functions of the deployed contract, or a failure to comply with a lawful order, and must retain a record of the representation and of each due diligence review.

Recommendation 4 (§ 1523.3(c)). Add:

> The due diligence required by paragraph (c)(1) of this section includes confirming that the Secretary has not published a determination of

noncompliance with respect to the foreign payment stablecoin issuer under section 8(b)(1)(A) of the Act (12 U.S.C. 5907(b)(1)(A)), unless the Secretary has since published a determination under section 8(b)(3) of the Act (12 U.S.C. 5907(b)(3)) that the foreign payment stablecoin issuer is no longer noncompliant. A waiver, general license, or specific license under section 8(c)(1) of the Act (12 U.S.C. 5907(c)(1)) permits the secondary trading that instrument describes; it does not by itself restore reliance on the representation that the foreign payment stablecoin issuer will comply, and reliance remains unavailable until the Secretary publishes a determination under section 8(b)(3) of the Act that the foreign payment stablecoin issuer is no longer noncompliant.

Technical correction (§ 1523.3(b) and (c)). Proposed § 1523.3(b) and (c) read "has the technological capability to comply with, and will comply, with the terms of any lawful order," repeating "with." Section 3(b)(2) of the Act reads "has the technological capability to comply, and will comply, with the terms of any lawful order." The preamble identifies two intended differences between proposed § 1523.3(b) and the statutory text, and this is not one of them, so Treasury may wish to conform the final text to the statute.

III. Cross-rule alignment

Issue	This proposal	Adjacent rulemakings	Recommended alignment
The lawful-order obligation	Foreign issuer's technological capability plus provider reliance and diligence (§ 1523.3(c)); lawful order defined by cross-reference to the Act, and Question 4 asks whether to align with FinCEN	Framed as an issuer compliance obligation in the FinCEN permitted payment stablecoin issuer sanctions rulemaking; framed through the account-based statutory definition in the FinCEN customer identification program rulemaking	State in the preamble how satisfying one relates to the others, and whether diligence here may rely on determinations made there
Controls around the privileged operations that make up the capability	Not reached; § 1523.3(c) addresses the representation of capability only	For permitted issuers the Act requires "technical capabilities, policies, and procedures" (section 4(a)(5)(A)(iv)), and the OCC's proposed rule for permitted issuers (RIN 1557-AF41) expects sufficient controls over minting and burning	Expect diligence on a foreign issuer's representation to reach the same controls (Recommendation 2)

Issue	This proposal	Adjacent rulemakings	Recommended alignment
Verification of a self-reported status	Representation plus reasonable due diligence, whose content beyond the section 8 check is left to facts and circumstances	The SEC's proposed Regulation Crypto Assets conditions a permanent change in a crypto asset's securities status on issuer self-certification with a supporting analysis	Specify the observable floor in both; the two proposals share the structure of resting a consequential determination on an unverified assertion
A mandatory comparison against a government list	Section 8 designation list; population and notice mechanism unstated; the mandatory check is framed as a prohibition in effect, which follows publication by 30 days	The FinCEN customer identification program rulemaking's government-list obligation had no designated lists at proposal	State the list's current state and its notice mechanism, in both, and key the check here to publication

IV. Response to the New York State Department of Financial Services

The New York State Department of Financial Services argues that the proposal is overly permissive of secondary sales into the United States: "issue" reaches only an initial sale, proposed § 1523.2(d) reaches a distributor or market maker only in connection with an issuance that itself violates section 3(a), the restriction on offers and sales by digital asset service providers does not apply until July 2028, and resales that do not involve a provider would remain permitted. It asks Treasury to add anti-evasion requirements so that a foreign issuer cannot structure an issuance for resale into the United States, and to require no-resale representations, for an extended period, from the affiliates, distributors, market makers, platforms, and other intermediaries to which the issuer directly issues. Tokenization Systems supports both as requirements. An issuer that can skip the representation and still claim a reasonable belief under § 1523.2(c) has not been required to obtain it.

The concern is well founded, and Treasury anticipates the same fact pattern: "a nominally offshore issuance may be structured to place newly issued payment stablecoins into U.S. circulation through an affiliate, distributor, market maker, platform, or other intermediary." The Chair of the Financial Stability Board described the wider cross-border problem to the G20 on October 8, 2026: global stablecoin arrangements "are inherently cross-border, yet national regulations are taking shape at different speeds and cross-border cooperation in this area is still in its infancy."

Question 44's per se alternative would not reach that structure. It makes an issuance unlawful when the payment stablecoin is issued to a person located in the United States,

and in the structure the Department describes the first acquirer is not. Treasury places the structure in its discussion of a Regulation S approach, which it recognizes "may better address certain cross-border fact patterns than the proposed approach" (91 Fed. Reg. 53379). This section answers Questions 45, 47, 48, and 50 on that framework, and it is the anti-evasion complement to Recommendation 5. The final rule should apply the directed-selling-efforts concept to this case: an issuer that knows, or has reason to know, that a recipient acquires the payment stablecoin for resale into the United States, or that directs at the United States selling efforts of the kind Treasury describes in that discussion, should not be treated as issuing outside the United States, and written no-resale representations should be a condition of that treatment. Because transfers from an issuer to its intermediaries, and onward, are recorded on a public ledger, a representation of that kind can be tested against observed flows rather than merely collected.

Section 3(b)(1) of the Act starts the provider's offer-and-sale prohibition in July 2028, three years after enactment, and resales that never involve a digital asset service provider stay outside that prohibition after it starts. This comment does not ask Treasury to treat those resales as offers by a provider. It asks Treasury to treat the issuer's structuring of an issuance as the issuer's conduct under § 1523.2. The Department's Question 74 point, on state-certification safe harbors, is outside this comment.

V. Anticipated objections

Objection: an on-chain check imposes technical capacity that many providers lack. The check in Recommendation 1 is reading a deployed contract's function list and its transaction history, which is a standard capability among digital asset service providers and is available through commodity block-explorer tooling. Recommendation 1 is also scoped to public-ledger issuance and expressly does not apply otherwise.

Objection: naming diligence elements converts a flexible standard into a checklist. Recommendations 1 through 4 name floors, not ceilings, and leave the remainder of the facts-and-circumstances standard intact. Treasury has already taken this approach once in the proposal by making the section 8 confirmation mandatory while leaving the rest flexible; these recommendations extend the same drafting pattern.

Objection: the controls inquiry in Recommendation 2 asks providers to audit foreign issuers. It does not. The provider obtains the issuer's description of who may invoke the capability and under what authorization, and records it. The provider then checks that description against the ledger on the points the ledger can show: the address or governance process that can invoke the function, and any limit on privileged operations that is encoded in the contract or visible in its transaction history. The provider does not inspect the issuer's internal approval files. If the ledger contradicts the description, the provider cannot treat its diligence regarding the representation as reasonable until the contradiction is resolved, which is the condition proposed § 1523.3(c) already sets.

Objection: keying the mandatory check to publication shortens the 30-day period the statute provides. It does not. That period governs when the prohibition on facilitating secondary trading takes effect; it does not make a published determination of

noncompliance unknowable, and the proposal's own knowledge standard already denies reliance to a provider aware of facts showing that the issuer will not comply. Recommendation 4 makes the mandatory element consistent with that standard; it does not accelerate the prohibition.

Objection: Recommendation 6 would capture ordinary contract administration. It reaches only the location of the authority to invoke the represented capability. Where an administrator acts solely at the issuer's direction and the issuer retains the authority, the issuer holds the capability and nothing changes.

VI. Conclusion

The seven recommendations share one point. Proposed § 1523.3(c) rests on a representation with two limbs that differ fundamentally in how knowable they are. Treasury has correctly refused to demand certainty about the limb that admits none. The recommendations ask Treasury to take the matching step on the limb that is directly observable, and to say what evidence bears on the one that is not, so that a standard framed as reliance on a representation does not become reliance on assertion alone.

Tokenization Systems supports the proposed rule and appreciates the care evident in its treatment of the section 3(b)(2) reliance problem. Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix.

Respectfully submitted,

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Appendix: Selected sources

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